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FINANCIAL REPORTING AND ANALYSIS

"Decoding Fintech Profitability: A Financial and DuPont Analysis of Policybazaar"

Team- 9

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ABSTRACT

This report presents a comprehensive evaluation of PB Fintech Ltd., popularly known as Policybazaar, by applying traditional financial ratio analysis and the DuPont model. The purpose is to understand the company's financial trajectory, evaluate its efficiency, solvency, liquidity, and profitability, and interpret shareholder returns in the context of its business environment.

Policybazaar has emerged as India's leading online insurance marketplace, acting as a digital bridge between insurers and consumers. The analysis highlights that while the company has historically reported consistent losses, recent years show a transition toward profitability. Liquidity remains robust, solvency risk is minimal due to low leverage, and efficiency ratios demonstrate gradual improvement. However, profitability metrics, including margins and ROE, remain weak, pointing to long-term challenges in sustaining earnings.

From an investor standpoint, Policybazaar represents a company with long-term growth potential supported by India's digital adoption wave, but its short-term financials warrant caution.

Motivation and Background of Study

Why Fintech and Why Policybazaar?

The Indian fintech industry has seen explosive growth in the past decade, fuelled by digitalization, mobile penetration, and government initiatives like *Digital India*. Among various fintech models, digital insurance aggregation stands out because insurance penetration in India has historically been low compared to global averages.

Policybazaar, launched in 2008, pioneered this space by offering a transparent, user-friendly platform for comparing and purchasing insurance products. It disrupted traditional agent-driven distribution and empowered consumers with choices.

The reasons for selecting Policybazaar as the subject of this study are:

1. **Market Leadership**: Policybazaar accounts for a majority share of the digital insurance aggregation market in India.
2. **Financial Turnaround Story**: After years of operating at losses, the company has recently reported positive profitability indicators, making it a unique case study.
3. **Investor Relevance**: With its shares currently trading around ₹1,370 on the BSE (September 2025), it represents one of the most actively tracked fintech stocks.
4. **Relevance to Academia**: Analyzing Policybazaar provides insights into how fintech firms balance growth and profitability, a challenge faced by most new-age technology companies.

About Policybazaar

PB Fintech Ltd. operates Policybazaar and Paisabazaar.

- **Policybazaar**: Focuses on insurance aggregation across life, health, motor, and general insurance categories.
- **Paisabazaar**: Operates in lending and credit product distribution, offering loans, credit cards, and financial planning tools.

The company earns revenue primarily through commissions from insurance companies and lending partners, while also investing heavily in marketing and customer acquisition.

Methodology

The study uses two key analytical frameworks:

1. Financial Ratio Analysis

Ratios are grouped under:

- **Solvency Ratios**: To measure long-term stability and reliance on debt.
- **Liquidity Ratios**: To assess the company's short-term financial health.
- **Efficiency Ratios**: To evaluate how effectively the company uses assets and resources.
- **Profitability Ratios**: To examine margins, returns, and value creation.

2. DuPont Analysis

The DuPont Model decomposes Return on Equity (ROE) into five drivers:

- Net Profit to PBT (tax impact)
- PBT to EBIT (interest burden)
- EBIT to Sales (operating margin)
- Sales to Assets (asset utilization)
- Assets to Equity (financial leverage)

This method provides a deeper understanding of why shareholder returns remain low despite improving top-line performance.

Both methods together ensure a holistic financial evaluation.

Analysis

Financial Ratio Insights

Solvency

Policybazaar has historically operated with minimal debt, a reflection of its asset-light, digital-first model. Its debt-to-equity ratio was just 0.04 in FY2024, significantly lower than traditional financial service providers. The interest coverage ratio, which was alarmingly negative in FY2016 (-12,563), has improved to 3.89 in FY2024, showing that operating profits now comfortably cover interest expenses. This marks a transition from dependence on external funding to operational self-sufficiency.

Liquidity

The company's liquidity is a standout strength. Its current ratio has grown steadily from 1.99 in FY2018 to 6.37 in FY2024, far above the industry benchmark of 2. This indicates ample liquid assets to meet obligations, giving Policybazaar a safety cushion in case of economic downturns or sudden cash requirements.

Efficiency

- **Fixed Asset Turnover**: Stable at 6.4 in FY2024, reflecting efficient utilization of digital infrastructure.
- **Debtors Turnover**: Improved to 5.18 in FY2024 from 3.48 in FY2018, showing faster receivables collection.
- **Total Asset Turnover**: Increased to 0.58 in FY2024, compared to 0.37 in FY2022. Though still modest, this improvement signals better conversion of assets into revenue.

Profitability

For much of its history, Policybazaar reported negative margins. Recent years, however, show a breakthrough:

- **PBIDTM**: 5.6% in FY2024.
- **PBDTM**: 4.82% in FY2024.
- **ROCE**: 1.46% in FY2024.
- **RONW**: 0.94% in FY2024.

While these figures remain low compared to industry peers, the shift from negative to positive margins signals that Policybazaar is approaching financial maturity.

Key Takeaway: Financial ratio analysis shows a company with low financial risk and high liquidity, but limited profitability, making it a low-risk, low-return investment at this stage.

DuPont Analysis

The **DuPont model (2015–2024)** provides deeper insights into ROE.

- **Net Profit / PBT**: 0.87 in FY2024, consistent over time, showing efficient tax management.
- **PBT / EBIT**: Declined to 0.74 in FY2024, suggesting slightly higher non-operating expenses.
- **EBIT / Sales**: At 0.03 in FY2024, operating margins remain razor-thin. Earlier years showed negative values (e.g., -0.58 in FY2022), so the turnaround is noteworthy, though still insufficient.
- **Sales / Assets**: Improved to 0.58 in FY2024, a sign of growing efficiency in revenue generation from assets.
- **Assets / Equity**: At 0.87 in FY2024, leverage is conservative, minimizing financial risk.
- **ROE**: Improved marginally to 0.01 in FY2024 after years of negative returns (e.g., -0.78 in FY2019).

Key Takeaway: DuPont analysis highlights that low operating margins are the primary drag on ROE. While leverage is not being used aggressively, efficiency gains in asset utilization are evident.

Summary and Conclusion

PB Fintech Ltd. (Policybazaar) has evolved from a high-growth, loss-making startup into a financially stable, modestly profitable fintech leader.

Key Findings

1. **Strong Liquidity**: Current ratio above 6 indicates solid cash management.
2. **Minimal Debt**: Low leverage reduces solvency risk but also limits ROE growth potential.
3. **Efficiency Gains**: Better asset utilization and receivables management point to operational improvement.
4. **Profitability Challenge**: Margins remain thin, keeping ROE near zero despite revenue growth.
5. **DuPont Insight**: The weak EBIT/Sales ratio is the core issue suppressing shareholder returns.

Investor Perspective

- **Short-Term Outlook**: The stock remains risky for short-term investors due to its fragile profitability. Market corrections may lead to volatility in share prices.
- **Long-Term Outlook**: With its dominant market share, India's under-penetrated insurance market, and improving efficiency, Policybazaar offers strong long-term growth potential.

For conservative investors, a "Hold" strategy is advisable, while risk-tolerant investors could "Buy on dips" to benefit from India's digital financial expansion.

Broader Implication

Policy bazaar's journey reflects the broader story of fintech in India: rapid digital adoption, strong liquidity, innovation-led disruption, but ongoing challenges in achieving sustainable profitability. For policymakers and investors alike, it highlights the importance of balancing growth and efficiency.

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